

FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA
LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee: Long-term insurers			File: 10.7.2.2.2; 10.41.1.5.2		
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3 rd	-	-	-	-	-
Subject: Guidance on guaranteed and partially guaranteed policy benefits for purposes of regulation 28(8)(b)(iii) of the Regulations made under section 36 of the Pension Funds Act No. 24 of 1956					

1. PURPOSE

The purpose of this Directive is to provide guidance on what constitutes a guarantee or partial guarantee of policy benefits under a long-term policy for purposes of regulation 28(8)(b)(iii) of the Regulations made under section 36 of the Pension Funds Act No. 24 of 1956¹ ("Regulation 28").

2. DEFINITIONS

2.1 For purposes of this Directive a word and expression to which a meaning has been assigned under the following legislation has the same meaning in this Directive, unless otherwise defined:

2.1.1 Regulation 28; and

2.1.2 the Long-term Insurance Act No. 52 of 1998 ("the Act").

2.2 In the event of a conflict between the meanings assigned under Regulation 28 and the Act, the Act prevails.

2.3 For purposes of this Directive –

2.3.1 "fund member policy", "growth rate", "investment value" and "start" have the meanings assigned under Part 5 of the Regulations made under the Act.

¹ Published under Government Notice No. R. 98 in Government Gazette 162 of 1962, and last amended by Government Notice No. R. 183 in Government Gazette 34070 of 2011.

2.3.2 “inflation” means any rate of inflation published by Statistics South Africa from time to time;

2.3.3 “non-linked policy” means a policy that is not a linked policy as defined in the Act²; and

2.3.4 “normal retirement” means normal retirement as contemplated in the registered rules of the fund concerned.

3. REGULATION 28(8)(b)(iii)

Regulation 28(8)(b)(iii) of the Regulations made under the Pension Funds Act No. 24 of 1956 provides that a fund, in applying the limits set out in Regulation 28, may, amongst others, exclude *“a long-term policy as defined in the Long-term Insurance Act, other than a policy referred to in paragraph (ii) above, that guarantees or partially guarantees policy benefits and in respect of which a fund obtained a certificate issued by the statutory actuary of the long-term insurer that the guarantee or partial guarantee is consistent with guidance issued by the Registrar of Long-term Insurance, under the Long-term Insurance Act, in respect of what constitutes a guarantee or partial guarantee for purposes of this sub-regulation.”*

4. GUIDANCE

4.1. Guarantee

For purposes of Regulation 28, a non-linked policy guarantees policy benefits if the statutory actuary provides the confirmation referred to in paragraph 4.4 and the full policy benefit payable –

- (a) on, at least, normal retirement of the fund member concerned in the case of a fund member policy;
- (b) on, at least, normal retirement of any fund member concerned in the case of a fund policy or on maturity of a fund policy; or
- (c) in respect of each annuity instalment in the case of an annuity,

is either –

- (i) stated in the policy in Rand terms at the start of the policy;

² This definition must be read with Directive 146.A.i (LT) on the application of linked policies as defined in the Long-term Insurance Act.

- (ii) stated in or ascertainable from the policy at the start of the policy to be equal to the amount that would have been payable if the growth rate used in calculating the policy's investment value or, in the case of annuities, annuity instalment had been equal to a stated fixed rate of return or increase since the start of the policy; or
- (iii) stated in or ascertainable from the policy at the start of the policy to be equal to the amount that would have been payable if the growth rate used in calculating the policy's investment value or, in the case of annuities, annuity instalment had been a stated rate of return or increase linked to inflation, since the start of the policy.

4.2 Partial guarantee

For purposes of Regulation 28, a non-linked policy partially guarantees policy benefits if the statutory actuary provides the confirmation referred to in paragraph 4.4 and the full policy benefit payable –

- (a) on, at least, normal retirement of the fund member concerned in the case of a fund member policy;
- (b) on, at least, normal retirement of any fund member in the case of a fund policy or on maturity of a fund policy; or
- (c) in respect of each annuity instalment in the case of an annuity,

is either –

- (i) determined in accordance with the insurer's principles and practices of financial management as contemplated in section 46 of the Act in respect of the partial guarantee;
- (ii) stated in or ascertainable from the policy at the start of the policy to be no less than the amount that would have been payable if the growth rate used in calculating the policy's investment value or, in the case of annuities, annuity instalment had been equal to 1,5 per cent per annum compound since the start of the policy; or
- (iii) stated in or ascertainable from the policy at the start of the policy to be no less than the amount that would have been payable if the growth rate used in calculating the policy's investment value or, in the case of annuities, annuity instalment had either been no less than 50 per cent of the annual change in inflation or no less than the annual change in inflation minus 3 per cent per annum, since the start of the policy.

4.3 Policies deemed to partially guarantee policy benefits

4.3.1 For purposes of Regulation 28, a fund member policy (despite it not meeting the requirements of paragraph 4.1 or 4.2) partially guarantees policy benefits if –

- (a) the statutory actuary provides the confirmation referred to in paragraph 4.4; and
- (b) the investment value of the policy at one or more specific future dates stated in the policy (the “guarantee date/s”) is equal to or no less than an amount stated in the policy in Rand terms or the value that would have been applicable if the growth rate used in calculating that investment value, over a period of at least 5 years prior to the applicable guarantee date, had been either –
 - (i) a stated fixed rate of return;
 - (ii) a stated rate of return linked to inflation;
 - (iii) determined in respect of the insurer’s principles and practices of financial management as contemplated in section 46 of the Act in respect of that guarantee date;
 - (iv) 1,5 per cent per annum compound; or
 - (v) no less than 50 per cent of the annual change in inflation or no less than the annual change in inflation minus 3 per cent per annum.

4.3.2 A fund member policy referred to in paragraph 4.3.1 will be regarded as being a policy that partially guarantees policy benefits for purposes of Regulation 28 only for the period/s that it complies with paragraph 4.3.1 (up to and including the guarantee date/s).

4.4 Confirmation by statutory actuary

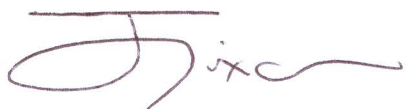
The certificate to be issued by the statutory actuary of the insurer in terms of sub-regulation 28(8)(b)(iii) of Regulation 28 must include a confirmation by the statutory actuary that –

- (a) in the case of a policy contemplated in paragraph 4.1, the actuary is satisfied that the policy benefits concerned meet the requirements of paragraph 4.1 and the policy benefits are determined independently of the performance of any assets backing the policy liabilities;
- (b) in the case of a policy contemplated in paragraph 4.2, the actuary is satisfied that the policy benefits concerned meet the requirements of paragraph 4.2; or

- (c) in the case of a policy contemplated in paragraph 4.3, the actuary is satisfied that the policy at all relevant times meets the requirements of paragraph 4.3.

5. AVAILABILITY AND INFORMATION SHARING

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Long-term insurers must bring this directive to the attention of their appointed auditors and statutory actuary.



REGISTRAR OF LONG-TERM INSURANCE